Security Analysis and Portfolio Management

Of

BRAC Bank PLC

BRAC Bank PLC, is one of the major privately owned Bangladesh based commercial banks, which was established in 2001 and sponsored by BRAC, one of the largest NGOs in the world . By introducing small-ticket lending to the SME segment, the bank became part of its commitment to enabling inclusive economic growth (Limited, n.d.). This bank is publicly traded with a ticker BRACBANK on Dhaka Stock Exchange. It operates under the principle of business segments for example SME banking, retail banking, corporate and investment banking that are undertaken by digital channels and subsidiaries, i.e. bKash and BRAC EPL(Limited, n.d.).

Recent revelations have indicated that BRAC bank operated market capitalization of approximately BDT 100,940 million and higher quality assets and capital adequacy with a capital-to-risk weighted asset ratio around 14.5% and non-performing loans (NPL) ratio of about 3.5%, and good NPL coverage (Limited, n.d.). According to a recent annual report, the ratios of returns are good with ROE of approximately 15-16% and ROA 1.2-1.7%, which shows the efficient utilization of equity and assets as compared to other banks.

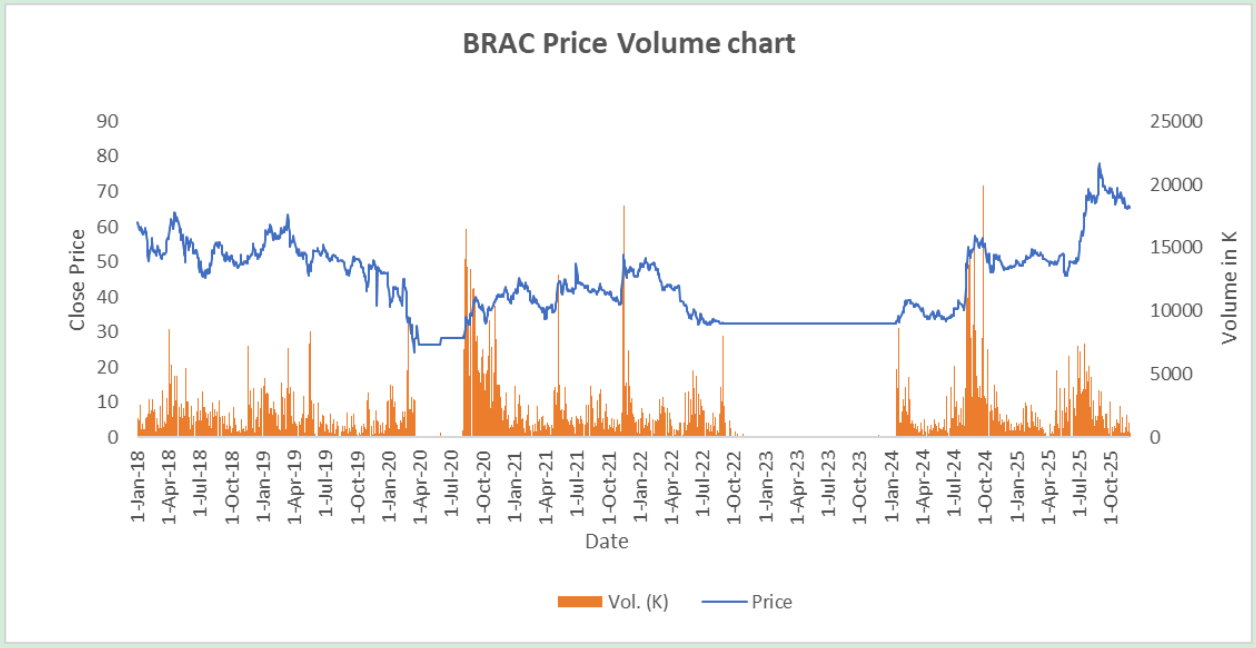
Valuations of the stock are around 7.04-13.4% of P/E, and closer to 0.6-1.3% of P/B ratio, which fairly consider the company is in an emerging market, a growing private bank (LankaBangla Financial Portal, n.d.). Moreover, these are slightly higher than the average of the banking industry in Bangladesh and this implies that the market is willing to pay a premium to enjoy the better profitability and opportunities of this bank (Simply Wall St, n.d.).

BRAC bank focuses on SME financing, technology-oriented banking, and retail consumer loans as the strategic movement. It has also established a strong SME franchise in Bangladesh, based on the wide network of branches and other delivery channels (Limited, n.d.). Sustainability and inclusiveness of banking are the main highlighted parts, which contributes to the objective of national development and targets women entrepreneurs and marginal communities(BRAC Bank PLC, 2023).

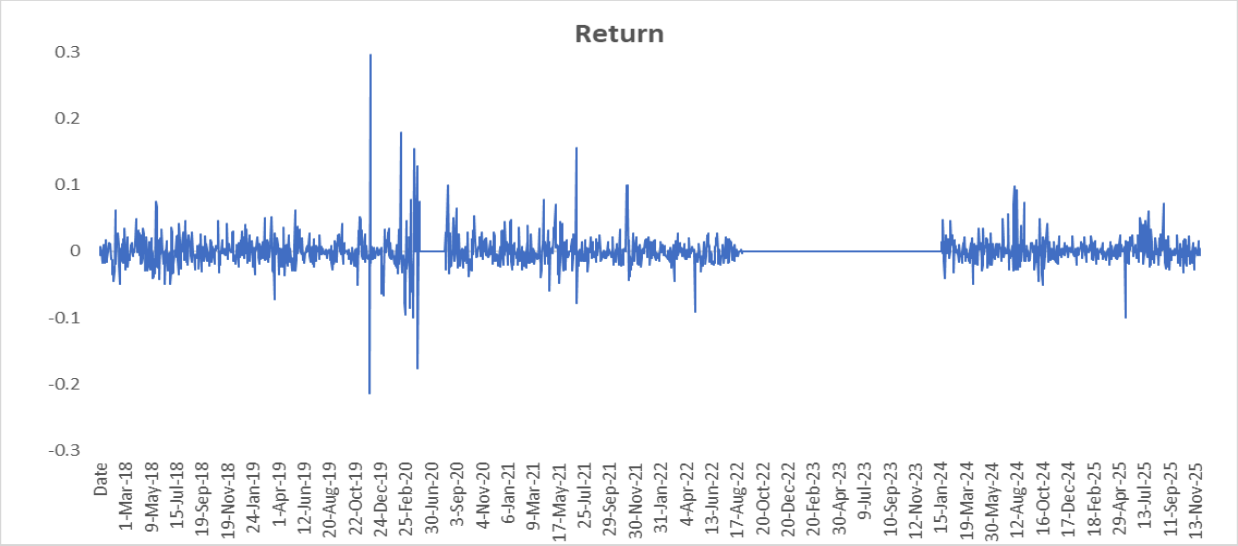
If we compare with the benchmark bank, which is Eastern Bank Limited, both of them show different strengths. In 2024, BRAC Bank illustrated strong performance with EPS 6.95, ROA 1.51%, ROE 15.17%, and NPV 42.68, whereas Eastern Bank Limited showed outperforming with EPS 4.86, ROA 1.34%, ROE 28.63%, and NPV 31.71. Even though Eastern Bank Limited maintains constraint valuation ratios of P/E 7.05% and P/B 0.86%, BRAC Bank profitability is higher, which justifies the higher P/E 8-9% and P/B 1.0-1.3%. So, it can be said that BRAC Bank is the better choice for analysis due to its higher returns.

Overall, BRAC Bank has the higher position among other banks based on growth-oriented, relatively capitalized private banks with a prominent SME and retail network, well-explained valuation, and profitability but still have some typical sector risks for example movements of interest-rate, credit quality and uncertainty macroeconomics in Bangladesh.

The Price Volume Chart



Fg:1- Price Volume Chart



Fg:2- Return Chart

From the Price-Volume Chart (2018-2025):

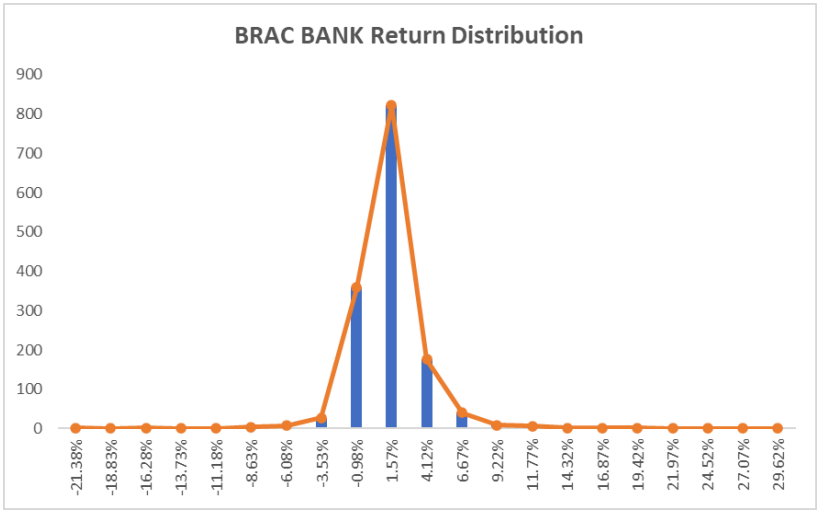
- Fluctuation of price unceremonious between the mid-20s, also high-70s, with multiple visible ups and downs.
- The daily standard deviation is around 2.17%, changing into annualized volatility is about 34% (from return sheet).
- Bars are showing the multiple volumes fluctuation of price movement lining up in days, specifying that large information has effects on the volatility.

BRAC Bank highlights moderate-to-high volatility between 2018-2025. As the annualized volatility of around 34% indicates that the stock price fluctuates more than usual low-risk stock, which is known as defensive stock. Large price fluctuations often conflict with spikes in volume of trading, showing that news, investor emotions, and risk tolerance significantly influence the stock. Even though, the price has not trended in a straight line; it is consistent with growth-oriented bank stock in developing economies.

The Return Distribution of the Company

	Endpoint	Frequency
1	-21.38%	1
2	-18.83%	0
3	-16.28%	1
4	-13.73%	0
5	-11.18%	0
6	-8.63%	4
7	-6.08%	7
8	-3.53%	27
9	-0.98%	359
10	1.57%	823
11	4.12%	176
12	6.67%	40
13	9.22%	8
14	11.77%	6
15	14.32%	1
16	16.87%	2
17	19.42%	1
18	21.97%	0
19	24.52%	0
20	27.07%	0
21	29.62%	0

Fg:3- Frequency



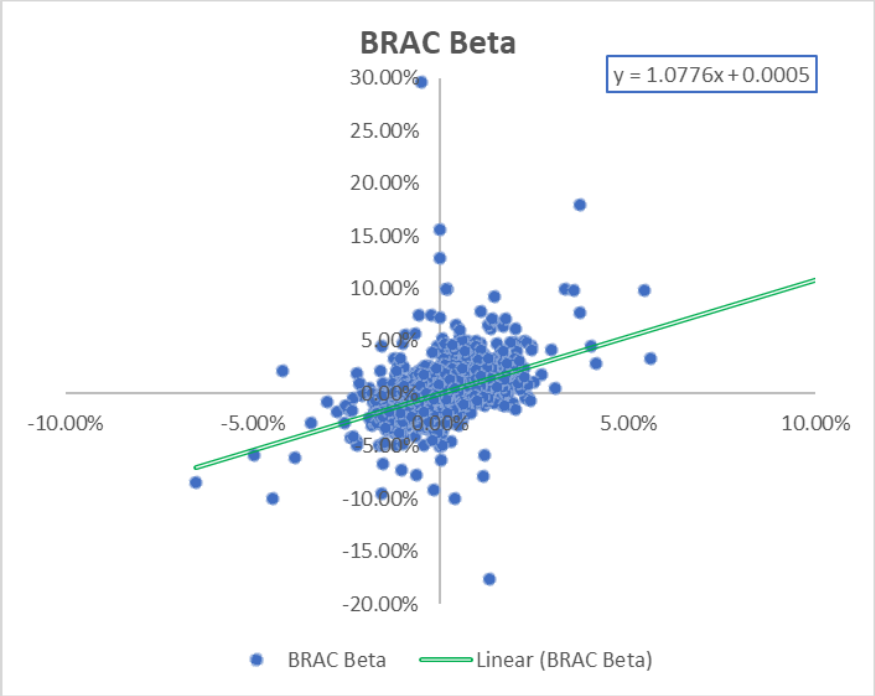
Fg:4- Return Distribution

From the calculation of return distribution,

- Skewness is approximately 1.42, which is positive.
- Kurtosis is approximately 25.60, which is very high
- The shape of his histogram is sharply peaked with some extreme observations.

BRAC Bank's return is not normally distributed, the skewness is positively distributed around 1.6, which indicates right skewed distribution for example more extreme gains is given by BRAC Bank than extreme losses; as in sometimes large upward movements pull the right tail. Moreover, the kurtosis is extremely high, which indicates a leptokurtic distribution that means there is a higher probability of extreme outcome (both positive or negative), which is fat tails and sharp peaks. So that its majority of the daily returns closes to zero, with few large shocks (both positive or negative). It means that risk is not well managed as there is a simple normal-distribution assumption; tail events are more likely to occur than a normal model.

Beta and its appropriateness:



Fg:4- Beta

The regression equation on the scatter plot

$$y = 1.0776x + 0.0005$$

So Beta is approximately 1.08.

Where:

- **x** = DSEX daily returns
- **y** = BRAC Bank daily returns

DSEX, the general market index of Dhaka Stock Exchange which represents the performance of the entire stock market (*DSE Index | Real-time Data, Top Gainers, Market Performance - Biniyog*, n.d.).

Based on the daily returns of BRAC Bank and the DSEX index from 2018 to 2025, it is plotted on an XY scatter diagram, where the X-axis shows the DSEX's returns and the Y-axis shows the BRAC Bank, which helps to draw a trend line to estimate the systematic risk. A regression equation shows the beta is around 1.08; BRAC Bank is inclined to move a bit greater than the market as for calculation, whereas the Lankabangla Finance Portal shows the market beta of 0.96, which indicates that BRAC Bank is slightly less volatile than the calculation done on the sheet. This imbalance happens due to the fact that the beta will be volatility based on the particular dataset, which is 2018-2025's daily returns, whereas the market beta is based on a different timeframe, type of approaches, and factors (Bodie, Kane, & Marcus, 2018). Overall, the

two values are closer to 1, which means this bank moves in the market in a more or less same direction. As the bank is vulnerable to its SME lending, retail banking and economical factors in Bangladesh, the company and the industry should have a beta of approximately 1, specifically the moderate systematic risk for a private commercial bank.

Investment Decision would be yes, but in a moderate consideration investing in BRAC Bank.
Since it has a good overall profile and acceptable risk-return tradeoff in the medium-long term future. As the market beta of 0.96, it implies that the stock is moderately lower volatile than the whole market, also relatively stable relative to the higher volatility, higher beta investments. As well as with the findings of personal analysis (beta =1.08, volatility, etc.), indicates the fact that the stock is not highly sensitive to the market, however moderate. In addition, privately owned commercial banks can take advantage of structural growth patterns in our country's economy (Bodie, Kane, & Marcus, 2018) . The bank has a strong foundation as well as a solid market position especially in the SME and retail banking sectors, which reflects high-potential growth for the long-term.

Therefore, the acceptable risk is beta = 1 and growth is one of the main factors that would make BRAC Bank a worthwhile investment (Brealey et al., 2020). Even though it shows a very high kurtosis value of 25.60, meaning that daily price changes in low percentage, the stock is vulnerable to moving ups and downs. The risk profile can be identified as fat-tailed, showing that the major economic or sector specific events occur in BRAC Bank. For the average risk taker, this can be enough for investing in this stock as the bank's high fundamentals, prominent market position, and positive reputation play important roles to believe in this, but for conservative investors, this may not be exposed to this sort of tail-risk (Bodie, Kane, & Marcus, 2018).

Valuation is an elemental aspect of financial decision-making amongst investors, analysts and corporate managers. The most common of these methods is the market multiplier model (also referred to as relative valuation) which is very simple and is based on the analysis of observed market data. In the present research, the market multiplier model is implemented to determine the worth of BRAC Bank PLC through the calculation of the financial ratios of the relevant financial entities of similar banks in Bangladesh.

Idea of the Market Multiplier Model.

Market multiplier model is an estimation of the value of a firm by the comparison of it with other comparable firms and by multiplying the valuation that is applied to the financial performance of the firm by the industry average multiplier. The premise behind this method is that similar firms are supposed to be valued at similar multiples (Damodaran, 2012).
Multiples in common use are:

- Price-to-Earnings (P/E)
- Price-to-Book Value (P/B)
- Price-to-Sales (P/S)

The P/E ratio has been mainly utilized in this analysis because it is a direct relationship between the market value and the earnings which is a major contributor to the shareholder value.

Comparable Firms selection
For relative valuation, selecting appropriate peer companies is critical. The peer group includes:

- BRAC Bank PLC
- Eastern Bank PLC
- Dutch-Bangla Bank PLC
- City Bank PLC

All selected firms operate in the Bangladeshi banking sector and are subject to similar regulatory, economic, and competitive conditions, making them suitable comparables.

	P/E	P/B	P/S	Revenue growth	Operating profit growth	ROA	ROE
BRAC Bank PLC	8.35	1.27	1.77	41.00%	52.00%	1.77%	22.58%
Eastern Bank PLC	4.69	0.77	1.42	N/A	N/A	1.20%	16.80%
Dutch-Bangla Bank PLC	7.83	0.75	1.33	N/A	N/A	0.70%	9.60%
City Bank PLC	2.87	0.77	0.93	N/A	N/A	1.70%	26.20%
Average	5.94	0.89	1.36	41.00%	52.00%	1.34%	18.80%

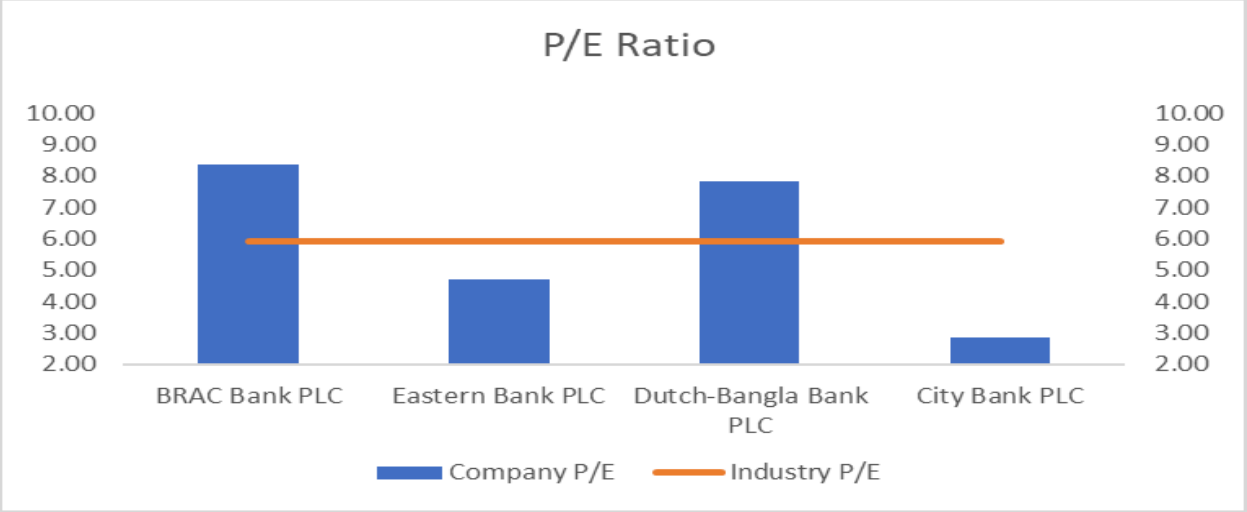
BRAC Bank PLC	
Industry P/E	5.94
EPS	7.88
Intrinsic value	46.77139237

When BRAC Bank plc is compared to other banks in the market in terms of its market multiples and performance factors, it is traded at a detectable premium. Its P/E (8.35), P/B (1.27) and P/S (1.77) ratios are high compared to the industry standard (5.94, 0.89 and 1.36) meaning that investors are ready to pay BRAC Bank a premium compared to other similar institutions. This premium value is backed by the good operating performance of the bank, which was recorded by the revenue growth of 41% and operating profit growth of 52% in addition to better profitability ratios like ROA of 1.77% and ROE of 22.58% that are above the industry averages at 1.34% and 18.80% (Investing.com, 2025).

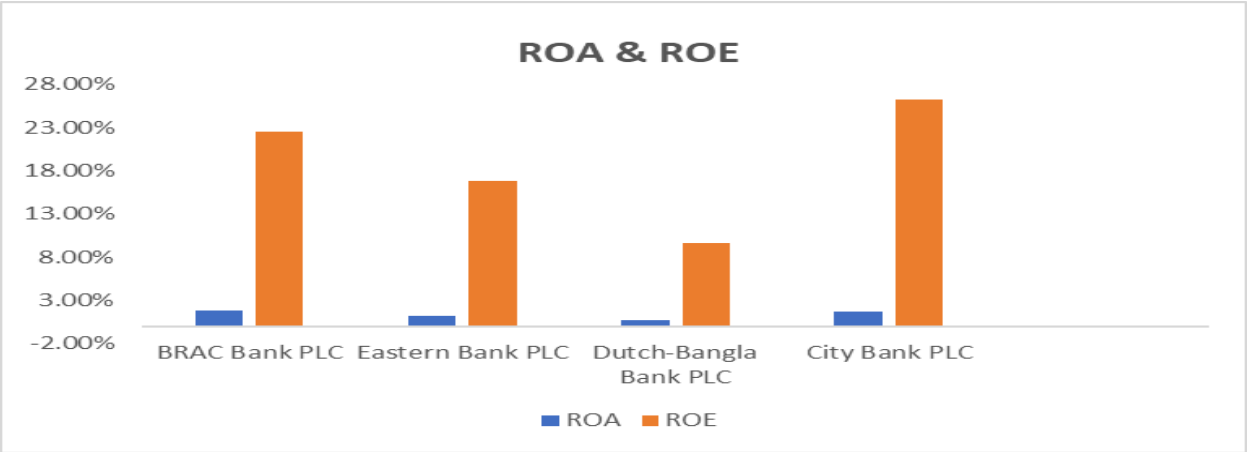
The intrinsic value of BRAC bank PLC was determined using the market multiplier method whereby the average P/E ratio in the industry of 5.94 multiplied by the bank's EPS of 7.88 gives an intrinsic value of around BDT 46.77 per share. This will indicate that the stock is overvalued when measured on a relative valuation basis by comparison to the current market price. Nevertheless, the gap between the intrinsic value and the market price is explained by the fact that the market holds hope about further growth, the quality of earnings and the efficient utilization of the equity belonging to the shareholders by BRAC Bank. In line with the previous research on valuation, this observation confirms that when relative models of valuation are used, firms with a higher growth and profitability potential are undervalued using simple industry averages (Damodaran, 2012; Koller et al., 2020).

ACCORDING TO 2025, 27 November				
	Share price	EPS	Book Value per share	Revenue per share
BRAC Bank PLC	65.80	7.88	51.73	37.20
Eastern Bank PLC	22.80	4.86	29.53	16.08
Dutch-Bangla Bank PLC	39.80	5.08	53.39	29.94
City Bank PLC	24.30	8.48	31.42	26.18

The following table shows the major per-share financial indicators applied in the market multiplier valuation. Share price is the value of any share in the market whereas earnings per share (EPS) is the amount of profit that can be attributed to a given share. The book value per share represents the net asset value at the disposal of the shareholders, and revenue per share shows how the firm can make sales per share. Combining all these metrics, they are the foundation of calculating the valuation multiples (P/E, P/B, and P/S) and are necessary to compare the valuation of the company to the underlying financial results.



The comparison of P/E ratios indicates that BRAC Bank PLC and Dutch-Bangla bank PLC are trading at above industry average P/E of 5.94, whereas Eastern bank PLC and City bank PLC are trading under it. BRAC Bank has a high P/E, which implies that the investors believe that the bank will grow its earnings in the future, or the bank is perceived to be less risky than its counterparts. Conversely, the low P/E at City Bank has indicated either poor growth prospects or a greater risk to the investors. In general, the chart demonstrates that there are valuation discrepancies in the sector and that BRAC Bank is valued at a high price in comparison to the majority of similar banks (Investing.com, 2025).



The comparison of ROA and ROE shows that the banks have variations in terms of profitability and efficiency. BRAC Bank PLC has a good performance, with an ROA of 1.77% and ROE of 22.58 which surpass the industry performance, and this is a good indication of proper utilization of assets and good returns to shareholders (BRAC Bank PLC, 2025). City Bank PLC has the largest ROE implying high leverage or efficient utilization of equity whereas Dutch-Bangla Bank PLC has relatively low profitability. These findings suggest that banks that have better ROA and ROE like BRAC Bank are more likely to serve higher valuation multiples, and this supports the relationship between profitability and market valuation.

All the three market multiplier models are estimates of the BRAC Bank PLC lower than its market price. This indicates that the stock is over valued with respect to its industry players. Nonetheless, BRAC Bank has good fundamentals, which include:

- ROE of 22.58%
- ROA of 1.77%
- Revenue growth of 41%
- Operating profit growth of 52%

These high performance measures can be used to support a valuation premium within the market. This observation has been helpful in advancing the thesis that the relative valuation may not be sufficient in capturing firm specific growth opportunities (Investing.com, 2025) .

The present research has a number of limitations. To start with, the analysis is based on the small peer group, which can have an impact on the strength of the industry averages. Second, market multiples indicate the existing market sentiment and they can include mispricing. Lastly, the research fails to integrate forecasted cash flows, which are the key of intrinsic valuation techniques.

The paper used P/E, P/B and P/S ratios to value BRAC Bank PLC by the market multiplier model. Intrinsic value is estimated to be between BDT 46 and 51 per share and this is far less in comparison with the market price of BDT 65.80. Although the findings are speculative of an overvaluation, high profitability and growth may be the reason that contributes to the market premium. Investors have been recommended to supplement relative valuation with intrinsic valuation methods so as to make the investment decisions more comprehensive (Investing.com, 2025).

Sensitivity Analysis:

	HISTORICAL						Average	PROJECTIONS					
BDT mn	2019	2020	2021	2022	2023	2024	Growth	2025	2026	2027	2028	2029	2030
Revenue	21,388,102,554	20,335,547,834	23,363,890,098	26,570,910,034	31,610,470,017	44,250,411,150		51,269,221,998	59,401,326,587	68,823,310,804	79,739,769,837	92,387,750,884	107,041,900,559
Growth		-4.92%	14.89%	13.73%	18.97%	39.99%	15.86%						
Operating income	21,388,102,554	20,335,547,834	23,363,890,098	26,570,910,034	31,610,470,017	44,250,411,150		88,500,822,300	177,001,644,600	354,003,289,200	708,006,578,400	1,416,013,156,800	2,832,026,313,600
Growth		-4.92%	14.89%	13.73%	18.97%	39.99%							
% of revenue	100%	100%	100%	100%	100%	100%	100%						
Net Profit	5,645,802,388	4,540,831,949	5,546,930,564	5,763,173,574	7,303,604,668	12,136,169,761		15,062,783,793	18,695,145,179	23,203,443,538	28,798,909,389	35,743,711,084	44,363,238,372
Growth		-19.57%	22.16%	3.90%	26.73%	66.17%							
% of revenue	26.40%	22.33%	23.74%	21.69%	23.11%	27.43%	24.11%						
EPS	4.26	3.26	3.98	3.58	4.54	6.86		7.12	7.40	7.68	7.98	8.28	8.60
Growth		-23.47%	22.09%	-10.05%	26.82%	51.10%	3.84%						
Dividends paid	1,608,750,420	1,850,062,985	1,988,817,706	2,088,258,589	2,244,877,586	3,217,658,447		4,754,811,039	5,901,424,590	7,324,541,798	9,090,840,986	11,283,079,833	14,003,972,867
Growth		15.00%	7.50%	5.00%	7.50%	43.33%							
% of revenue	7.52%	9.10%	8.51%	7.86%	7.10%	7.27%							
Dividend payout ratio	28.49%	40.74%	35.85%	36.23%	30.74%	26.51%	31.57%						
No of share	1,325,305,724.88	1,392,893,235.89	1,393,701,146.73	1,609,825,020.67	1,608,723,495.15	1,769,120,956.41							
							Dividend/share	2.69	3.34	4.14	5.14	6.38	7.92
							Terminal value using industry P/E						51.06

1. P/E Method of intrinsic value estimation and present value estimation

The third spreadsheet is calculating total cash flows of P/E approach and discounting them on the required return of 6.46 and getting the present value of the future benefits. The discounted present value makes the intrinsic value per share to be BDT 58.07. This implies that the BRAC bank PLC is slightly over-value using the P/E based present value strategy compared to its market price of BDT 65.80 (Investing.com, 2025). This discussion shows that discounting of future earnings will reduce valuation results and give a less optimistic estimate compared to simple multiple applications.

Year	1	2	3	4	5	6
Total CF PE	2.69	3.34	4.14	5.14	6.38	58.97
Present value P/E	2.52	2.94	3.43	4.00	4.66	40.51

Intrinsic value/share	58.07
Price on 27-Nov-2025	65.8
Required return	6.46%
Beta	1.0776
Risk free rate	10.87%
Annualized Return	6.78%

2. Analysis of Financial Performance in the past and future.

The spreadsheet shows the past and future growth of the key financial variables such as revenue, operating income, dividends and earnings. Its historical data represents an upward growth, which is projected into the forecast period with the average growth rate of about 15.86. There are also consistent increases in operating profit and dividends which indicate sustainability in earnings. Such projections are the basis of forecasting the future cash flows and terminal value that will help in the valuation exercise. The predictability of the projections is however subject to the assumption that the past growth trends will be repeated leading to the forecasting risk.

Sensitivity PE						
PE ratio	Required return					
58.07	4%	5%	6%	7%	8%	9%
7	70.01	66.83	63.86	61.06	58.43	55.95
8	71.01	67.83	64.86	62.06	59.43	56.95
9	72.01	68.83	65.86	63.06	60.43	57.95
10	73.01	69.83	66.86	64.06	61.43	58.95
11	74.01	70.83	67.86	65.06	62.43	59.95
12	75.01	71.83	68.86	66.06	63.43	60.95

3. **Sensitivity Analysis: P/E Ratio and Requirement of Return.**

This spreadsheet studies the effect of changing intrinsic value of BRAC bank PLC with different changes in P/E ratio and in the required rate of return. The analysis demonstrates that the intrinsic value increases with high P/E ratios and low required returns whereas the opposite also holds true. By starting at the assumptions at the bottom, the intrinsic value of the stock working on the industry P/E of 5.94 and the required return of 6.46, the intrinsic value of the stock is estimated to be BDT 58.07 per share. The sensitivity analysis indicates that market-based valuations are very sensitive to the expectation of the investor and discount rates, and this further supports the argument that the valuation findings should be interpreted as a range and not an estimate.

Interpretation:

The sensitivity analysis shows that the intrinsic value of BRAC Bank P/E model lies between the range of BDT 56 to BDT 75 per share. The broad band of valuation shows the high reliance of relative valuation on market multiples and discount rates. Comparing the stock to the market price which is witnessed to be BDT 65.80, the stock looks:

- Overstated by making conservative assumptions.
- Equally priced when assuming moderately.
- Undervalued on the assumption that things will go well.

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